

LEO MELAMED

1932–

As one of the most powerful figures in finance, Leo Melamed revolutionized futures trading on the Chicago Mercantile Exchange. However, like fellow financial genius George Soros, Melamed first had to undertake a remarkable journey that involved eluding the Nazis and the Russians to come to the United States. In 1939 he and his family escaped from Poland to Lithuania, but once there, they needed a transit visa to continue. "Even my philosophic father," Melamed said, "couldn't explain how a person's life was reduced to waiting in line for a slip of paper that could mean the difference between living and dying." On the train ride through Siberia, young Melamed learned his first lesson in strategy—keeping cool and focused under fire—for, to his amazement, his father proceeded to play an intense game of chess, apparently oblivious to the chaos around him.

In 1950 he entered the University of Illinois, where he began as a premed student then switched to prelaw. After he graduated, he entered law school, and while he hated the rigorous study, he admitted: "It made me think, and think with precision." While a law student Melamed applied for a job as a "runner" at what he thought was the law firm of Merrill, Lynch, Pierce, Fenner & Bean. At their office, the oblivious Melamed filled out the application, was interviewed briefly, and got the job. When he found himself on the floor of the Chicago Mercantile Exchange, he reflected: "I was Alice stepping through the Looking Glass into a world of not just one Mad Hatter, but hundreds."

Pretty soon he was "in love" with the Merc and convinced his father to loan him \$3,000 to buy a seat and trade for himself. In those days there was still plenty of manipulation, with the cornering of everything from eggs to onions; so, when Melamed was eventually elected to the Merc's board of governors in 1967 and was elected chairman in 1969, he focused on reforms and better self-government. Upon reflection, he wrote: "We were . . . pioneers, we told ourselves, fueled by ingenuity and guts, and dedicated to preserving the spirit of the frontier." In *The Art of Futures Trading*, he discerns between frontier myths and everyday reality when it comes to the skills needed for futures trading.